

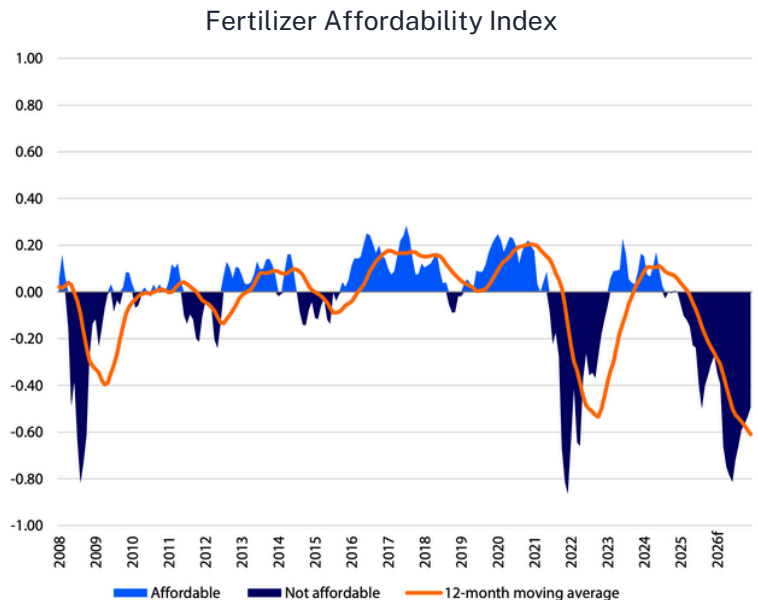
China's Sulphuric Acid Export Ban: Food Inflation and Fertilizer Risk

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On 10th April, 2026, China signaled a [halt to their exports of sulphuric acid](#) as a by-product starting from May, ahead of a formal announcement. This follows the Iran-US conflict and the subsequent closure of Strait of Hormuz, through which [50% of seaborne trade](#) of sulphur travels. Sulphuric acid, which is primarily derived from elemental sulphur, is a critical chemical compound used in fertilizers such as [DAP, MAP and NPK](#), petroleum refining, and water treatment. China accounts for 15% of global seaborne sulphuric acid supply, shipping [4.65Mt](#) in 2025. This will compound an existing supply shock, with significant downstream consequences.

Political and Market Reactions

- On 5th February, China's National Development and Reform Commission (NDRC) issued a notice to prioritise domestic sulphuric acid supply for phosphate fertilizer producers. [It has reduced the quota](#) for acid exports to 700,000 tons between January and April, down from 1.3 million in the same period last year. Following the Strait of Hormuz closure, acute shortages of sulphur prompted a [comprehensive restriction](#) on this quota, culminating in a signalled halt from May 2026.



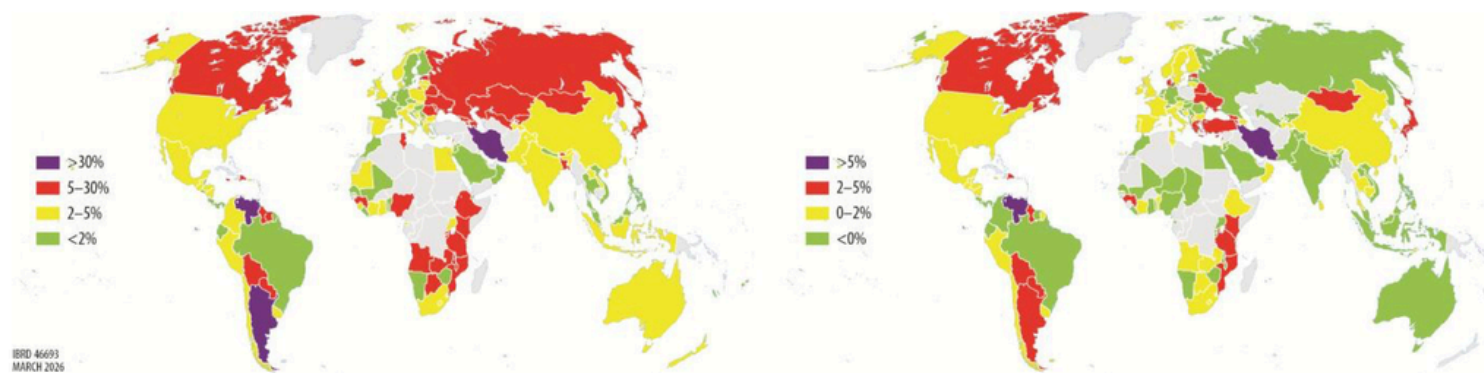
Source: Rabobank

- Markets have reacted sharply to Gulf disruption. China's domestic sulphuric acid prices surged 106% in six weeks, from [\\$149/t](#) in early March to [\\$307/t](#) by mid-April 2026. Phosphate fertilizer prices are also rising: [diammonium phosphate](#) reached [\\$857/t](#), while [monoammonium phosphate](#) reached [\\$906/t](#).
- CRU Group estimates the export halt from China will remove 2.8Mt of acid from global supply, with alternative suppliers offsetting just 0.5Mt collectively, thus leaving a structural gap that the market might not be ready to absorb. [Freight markets have also reacted sharply](#), [VLCC tanker rates](#) hit an all-time high of [\\$423,736](#) per day, a 94% surge, as major insurers [withdrew war risk coverage for vessels in the Persian Gulf](#). The fertilizer affordability index, which compares the price of fertiliser with the price of agricultural outputs, has remained firmly negative so far in 2026, suggesting that further increases in the price of fertiliser could drive up food prices.

Commercial Implications

- The maps below show nominal and real food inflation by country, with MENA and Sub-Saharan Africa most exposed to the pressure on fertiliser prices as they rely on imports to meet **80%-90% of domestic demand**. In the food inflation heat map (left), many regions such as North America and Europe show moderate inflation. However, the real food inflation heat map (right), which measures food inflation relative to the headline rate of inflation, shows that the former is outpacing the latter. Food inflation is already high across major agriculture import-dependent regions like India, parts of Africa and South America. Consumers in these regions are therefore most exposed to further increase in prices driven by a fertiliser supply shock.

Food Inflation Heat Map



Source: World Bank

- The commercial impact from the sulphuric acid ban will be felt acutely in the agriculture sector, where fertiliser represents a significant input cost. The impact of the loss of Chinese supply is already observable in the fertiliser affordability index.
- Sulphuric acid is also required for nickel leaching in EV Battery production, for PH control in water treatment plants, and for acid leaching in copper mining. Although China currently exempts electronic-grade acid from its export restrictions, this allowance could be carved out in the event of prolonged disruption to global supply.
- Morocco's OCP and Russia exporters stand to gain market share. OCP's phosphate exports already increased by **19.2%** in 2025 as buyers sought to diversify supply chains, an effect that will likely be compounded by Chinese export restrictions. However, these firms will not be able to meet the oncoming shortfall in global supply. Food manufacturers, agri-commodity traders and sovereign importers are facing a narrow and closing window to hedge, secure bilateral supply agreements, and reprice before markets fully absorb the dual supply shock.